

PORTUGAL 2001

1. Overview of the system

Portugal has an insurance-based unemployment benefit system with duration related to age. An unemployment assistance system exists and is related to the unemployment history and economic resources of the recipient. There are universal family benefits. Child – care benefits do not exist, nor are there any provisions for lone parents. Housing benefits are restricted to people suffering a sudden loss of income, for example through unemployment. They are not meant to be paid permanently. The tax unit is the family. The 2001 AW earning level is estimated at PTE 2 314 408.

2. Unemployment insurance

2.1 *Conditions for receipt*

Unemployment insurance (UI) is compulsory, except for the self-employed (non-applicable). Claimants have to be capable and available for employment and have to be registered at the employment office.

2.1.1 *Employment conditions*

A 540 days employment record in the last 24 months is needed to be eligible for UI payments. There are, however, exceptional measures of conjuncture in specific legislation.

2.1.2 *Contribution conditions*

The contribution condition coincides with the employment condition.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

The benefit amounts to 65 per cent of the average salary during the 12 months period ending 2 months before unemployment. This calculation takes into account the annual vacation bonus and the Christmas bonus due in the reference period. The maximum benefit amount is three times the national minimum wage (NMW); the minimum amount is the amount of the national minimum wage or of the

average remuneration if this one is lower than that wage. The national minimum wage amount in 2001 was PTE 67 000 per month (334.19 €).

2.2.2 *Income and earnings disregards*

The unemployment insurance benefit may be accumulated with part-time work in accordance with some requirements set by law: for insured persons in part-time employment whose income is lower than the value of the unemployment benefit and work between 25% and 75% of the normal work week, the benefit is equal to the difference between 1.25 times the unemployment benefit and the value of part-time work earnings.

2.3 *Tax treatment of benefit*

Not taxable.

2.4 *Benefit duration*

There is no waiting period. Duration increases with age according to the following table:

Age	Duration (months)
<30	12
30 - 39	18
40 – 44	24
45+	30

The beneficiaries of 45 years of age or over are entitled to more 2 months for each set of 5 years with registered earnings in the last 20 years preceding the unemployment.

2.5 *Treatment of particular groups*

2.5.1 *Young workers*

In the situation of workers in search of the first job there is a temporary exemption concerning the employers' contribution to social security. This exemption has a maximum duration of 36 months.

2.5.2 *Older workers*

When at the date of the unemployment, the beneficiary has 55 years of age or more the age of entitlement to the old age pension is anticipated to the 60 years of age provided that at that date the guarantee period required by law is completed.

The age of entitlement to the old-age pension is still anticipated to the 55 years of age for the beneficiaries that at the date of the unemployment have simultaneously 50 years of age or more and a contributory career of, at least, 20 civil years with registered remuneration. In that case the statutory pension amount is reduced.

As far as pensionable age anticipation is concerned and whenever the unemployed person is not entitled to the sequential Unemployment Social Allowance (granted after the Unemployment Insurance has expired) because his/her income is higher than the limit established by law, that person's insurance career is credited with earnings registration (as if contributions were being paid): for the period following that of maximum entitlement to Unemployment Insurance, until the person concerned meets the requirements for the anticipated old age pension (age and further qualifying conditions).

3. Unemployment assistance

3.1 Conditions for receipt

For receiving the initial Unemployment Social Allowance (USA), claimants have to be between 18 and 65 years of age and have to be registered unemployed looking for work and available for work. This benefit can also attributed after finishing the full length of entitlement to the UI (sequential Unemployment Social Allowance).

Additionally, the Unemployment Social Allowance may be renewed until the age of pensionable age anticipation is reached, provided that: i) when unemployment begins the insured person is aged 50 or over; ii) by the time of its renewal the insured person continues to meet the qualifying conditions for the Unemployment Social allowance.

3.1.1 Employment conditions

Any claimant needs to have worked 180 days in the year preceding the claim, unless he/she is a first job seeker with dependents. In addition, this benefit is means tested, which means that the beneficiary must prove to earn less than 80% of NMW by each element of the household.

3.1.2 Contribution conditions

The contribution condition coincides with the employment condition.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

Benefit amounts per month are linked to the minimum wage level and depend on family type:

Family type	Sequential USA	Initial USA
Single	80% of minimum wage	80% of minimum wage
With an aggregate	100% of minimum wage	100% of minimum wage

3.2.2 *Income and earnings disregards*

The Unemployment Social Allowance must not be accumulated with the earned incomes.

3.3 ***Tax treatment of benefit***

Not taxable.

3.4 ***Benefit duration***

.Regarding the beneficiaries of the initial Unemployment Social Allowance the duration is identical to point 2.4. Concerning the sequential Unemployment Social Allowance the duration is reduced to half the duration indicated in point 2.4.

3.5 ***Treatment of particular groups***

3.5.1 *Young workers*

Idem 2.5.1.

3.5.2 *Older workers*

Idem 2.5.2 – The Unemployment Social Allowance duration can be extended until the retirement age if the beneficiaries are at least 50 years old at the moment of unemployment and fulfill, at the time of the extension, all the conditions necessary to receive this benefit.

4. **Social assistance**

The long term unemployment (LTU) refers to the unemployed simultaneously searching for work and registered in an Employment Center for more than 12 months. There is a temporary exemption concerning the employers' contribution to social security that hires long-term unemployed persons.

The Guaranteed Minimum Income is focused to support individuals or families in situations of great economic need. The Guaranteed Minimum Income (GMI) is both a benefit, part of the Social Welfare and Citizenship sub-system of the Social Security System, and an insertion programme, with an aim to provide individuals and their households with the means tailored to satisfy their basic needs and allow for a progressive insertion in the labour market, the community and society.

The great economic need is recognized in the following situations:

- Individuals whose income is inferior to 100% of the welfare pension (in 2001 the welfare pension amounted to €130,93);
- Households whose income is inferior to the sum of the following amounts:
 - a) 100% of the welfare pension for each adult until the 2nd;
 - b) 70% of the welfare pension for each adult starting from the 3rd;

- c) 50% of the welfare pension for each minor;

For GMI purposes the calculation of the household income results from the sum of all the income sources in the 12 months previous to the requirement, excluding the housing subsidy, family benefits and 20% of scholarships. In addition only 80% of labour income after deduction of compulsory contributions to social security are considered to that purpose. The same applies to paid occupational training. Finally, if the entitled individual or a member of his/her family starts a new job during the receipt of the GMI, then during the first 12 months of work only 50% of that job income (after deduction of compulsory contributions to social security) is considered for the calculation of the GMI benefit amount. The amount of the benefit equals the difference between the individuals/household income and the amount of the GMI, calculated according to the rules above described.

For entitlement it is required legal residency in Portugal, the subscription and fulfilment of the Insertion Programme established, to provide evidence for the situation of great economic need and to have at least 18 years of age. There are exceptions to the age condition: if there are dependant minors or in case the entitled individual is pregnant.

5. Housing benefits

This subsidy is granted within the scope of the “*Secretaria de Estado da Habitação*”.

There is a scheme of means-tested housing benefits forming an addition to social assistance type benefits. It is only available to people in sudden need. This can be a result of unemployment. The general eligibility condition is a 30 per cent loss of gross income or an income at the level of the non-contributory social pension (equal to PTE 26250 per month).

Note: Housing benefits are not included in the calculations because there is no data available on the rules for the calculation of benefit. However, the total expenditure on Housing benefits is low in Portugal.

6. Family benefits

6.1 Conditions of receipt

There are allowances within the scope of the General Scheme (contributory) and of the non-contributory Scheme.

Requirements for the allowance within the general scheme (contributory): existence of a register of the remuneration in name of the beneficiary during the 12 months preceding the 2nd month before the date of presentation of the application or of the checking of the fact which determines the allowance.

Requirements for the allowance within the non-contributory scheme: the allowances are granted to children and youth who have: 1) monthly gross incomes which are equal or lower than 40% the national minimum wages provided that the income of the respective household is not higher than 1.5 times that wage – General Resources Requirement or 2) a household with an income per person not higher than 30% the national minimum wage and in situation of risk or social disruption – Special Resources Requirement.

6.2 Calculation of benefit amount

There are 2 age groups for the dependent children with different benefit amounts (equal and less than 12 months and more than 12 months) and also 4 levels of income (related to the minimum wage).

The first level concerns the incomes equal or less than 1.5 the minimum wage. The second level is applied for incomes above 1.5 the minimum wage up to 4 minimum wages.. The third level concerns the incomes above 4 minimum wages up to 8 minimum wages. The fourth level concerns the incomes higher than 8 minimum wages These values are reported to annual values (14 months).

6.2.1 Calculation of gross benefit

Yearly Amounts per child - 2001				
€	Age ≤ 12 months		Age > 12 months	
	1 or 2 Children	3 or more Children	1 or 2 Children	3 or more Children
First Income Level	988,80	1.484,40	296,88	409,92
Second Income Level	870,96	1.263,00	233,40	342,36
Third Income Level	751,20	1.009,80	201,72	273,60
Fourth Income Level	470,52	612,36	178,32	233,40

6.2.2 Income and earnings disregards

The effective beneficiaries of the allowances (beneficiaries' relatives) can't accumulate these allowances with earned incomes.

6.3 Tax treatment of benefit

Family benefits are not taxable.

6.4 Treatment of particular groups

6.4.1 Young persons

6.4.2 Older workers

6.4.3 Others if applicable

The family allowance may be increased in case the child is handicapped.

Elegibility conditions for this increased allowance are twofold

- Parents' eligibility conditions (one of the following):
 - Requirements for the allowance within the general scheme (contributory): existence of a register of the remuneration in name of the beneficiary during the 12 months preceding the 2nd month before the date of presentation of the application or of the checking of the fact which determines the allowance.
 - Requirements for the allowance within the non-contributory scheme: the allowances are granted to children and youth who have: 1) monthly gross incomes which are equal or lower than 40 per cent of the national minimum wages provided that the income of the respective household is not higher than 1.5 times that wage – General Resources Requirement; or 2) a household with an income per person not higher than 30 per cent the national minimum wage and in situation of risk or social disruption – Special Resources Requirement.
- Childrens' eligibility conditions: to be handicapped and less than 24 years old and:
 - Be enrolled or qualify for enrolment in a specialized rehabilitation equipment, or;
 - In need of personalized medical or educational support.

The amount added to the family allowance varies according to the age of the child. These are paid on a monthly basis.

Yearly amounts (in euros)

	2001
Until 14 years of age	557,88
From 14 until 18 years of age	812,88
From 18 to 24 years of age	1088,16

7. Child – care benefits

None.

8. Employment – conditional benefits

None.

9. Lone – parent benefits

None.

10. Tax system

Portugal has a progressive tax scheme with 6 rates varying between 12 and 40 per cent in 2001. Taxable income and income tax are calculated using the splitting method.

10.1 Income tax rate schedule

10.1.1 Tax allowances and credits

Tax allowances:

Basic allowance equals 70 per cent of the gross family income not exceeding PTE 550 000 per earner, or 72% of 12 minimum wages if the latter are greater.

Tax credits:

PTE 33 500 for each partner in a couple;

PTE 40 200 for a single;

PTE 53 600 for dependant child in case of lone parent

PTE 26 800 for dependant child

10.1.2 The definition of taxable income

Taxable income equals gross earnings minus tax allowances for a single. A couple has a different tax treatment, see 10.1.3.

10.1.3 The tax schedule

Taxable income band (1 000s) (€)	Tax rate (%)	Deduction (1 000s) (€)
0 – 800 (0 - € 3990)	12	0 (0)
800 – 1210 (€ 3990 - € 6035)	14	16 (80)
1210 – 3000 (€ 6035 - € 14964)	24	137 (683)
3000 – 6900 (€ 14964 - € 34417)	34	437 (2180)
6900 – 10000 (€ 34417 - € 49880)	38	713 (3556)
10000 and over (€ 49880 and over)	40	913 (4554)

Tax liability is calculated using family type specific formulae:

- - Singles: $I = (R \times T) - K - C$
- -Married couples: $I = (((R / 2) \times T - K) \times 2) - C$
(If the earnings of one partner do not exceed 95 per cent of the total gross earnings of the family)

Where:

- I = tax liable;
- R = taxable income after reduction of possible allowances;
- T = tax rate in appropriate bracket;
- K = deduction per bracket;
- C = tax credits.

10.2 *Treatment of family income*

The tax unit is the family.

10.3 *Social security contribution schedule*

The employers pay 23.75% and the employees 11% of the monthly remuneration. The self-employed can choose between a compulsory scheme paying 25.4% and an extended scheme paying 32%.

11. **Part time work**

11.1 *Special benefit rules for part – time work*

There are specific requirements regarding working days.

11.2 *Special tax and social security contribution rules for part – time work*

None.

12 **Policy developments**

12.1 *Policy changes introduced in the last year*

The main development in Social protection regarding the year 2000 was the implementation of a new Framework Law. In terms of the basic welfare system – first pillar - the Framework Law 17/2000 redesigned the structure of the Social Protection System defining three sub-systems: the *social welfare and citizenship sub-system*, the *family protection sub-system* and the *social insurance sub-system*. The first sub-system provides the basic rights of social welfare by guaranteeing equality of opportunity, the right to a

minimum living income and seeks to prevent and eradicate poverty and exclusion. The family protection sub-system guarantees cash benefits designed to protect the family. Both the first and second sub-systems cover all citizens. The social insurance sub-system cover several social security regimes and is designed primarily to guarantee the right to compensation for loss or reduction in earned income in the case of illness, maternity, paternity, adoption, unemployment, accidents at work and occupational illness, incapability, old age and death. It covers both employees and the self-employed and it is opened to individuals at working age (not at work or in situations of work not covered by this regime) willing to voluntarily pay contributions under the conditions stipulated by the law.

There are two main financial principles enforced by this law: the *principle of the diversification of financial sources* or the use of a wide range of methods to obtain resources with a view in particular to reducing non-salary wage costs and the *principle of selected appropriateness* which consists of determining the sources of revenue and allocating financial resources in accordance to the nature and purpose of the various forms of welfare defined by the law and to the special situations and measures, in particular those relating to active employment and training policies.

The financial regime combines elements of both pay-as-you-go (PAYG) and funded (capitalization) systems. In particular, an interval between two and four percent of the contributions payable by employees is transferred into a funded system which will act as a buffer reserve fund in order to cover forecast pension spending for a minimum period of two years. Additionally, this funded reserve will also receive end year's credit balances from the Social Insurance Sub-system, receipts from the assignment of assets and gains from financial apportionments.

12.2 Policy changes announced

Due to political changes it is expected a new Framework Law to be implemented in the summer of 2002. The new Law does not reverse the achievements of the previous one (Framework Law 17/2000), but goes beyond the latter in several subjects, namely in the field of Supplementary Pensions Schemes through the development of the 2nd and 3rd Pillars and the introduction of a contributory ceiling to the social contribution rate fraction related to pensions.

Further policy measures are expected to promote the partial retirement in order to soften the transition to retirement, to increase the participation rate among the older beneficiaries and to improve the transmission of Know-how, experience and knowledge to the younger workers. Additionally, it was announced a strengthen of social protection concerning the minimum pensions of the Social Insurance Sub-system, with the indexation to the minimum national wage in a four years program.

The protection of a new risk through the concession of the complete disability pension in all situations of absolute and permanent disability regardless the age of the beneficiary is also one of the measures in preparation.